SME Loan Eligibility Criteria & Bank Policies

1. Core Eligibility Criteria

To secure an SME (Small and Medium Enterprise) loan, lenders evaluate businesses based on financial stability, operational history, and creditworthiness.

- Business Vintage: Minimum operational period, typically 2 to 3 years.
- Annual Turnover: Minimum threshold (e.g., Rs. 10 lakh to Rs. 40 lakh depending on lender).
- Profitability: History of being profitable for at least 1 to 2 consecutive years.
- Credit Score: A strong credit score (typically 700+) for both the business and the promoter.
- Age of Borrower: Applicants must generally be between 21 and 65 years old.
- Registration: Must have valid business registrations (e.g., Udyam, GST, Shop Act).

2. Documentation Requirements

Keeping paperwork consistent is key to fast loan approval.

- KYC Documents: Aadhaar, PAN card, and address proof for proprietors/partners/directors.
- Business Proof: Udyam Registration, GST, Partnership Deed, or Certificate of Incorporation.
- Financial Statements: Last 2-3 years of audited financials, ITR, and 6-12 months of bank statements.
- Other: Detailed business plan and details of existing debts/liabilities.

3. Standard Bank Policies

- Collateral & Security: Loans may be secured (property/assets) or unsecured. Collateral-free loans up to certain limits are available under government schemes like CGTMSE.
- Asset Classification: Accounts are monitored regularly. Restructured loans might initially be downgraded until satisfactory performance is shown.
- Lending Approach: Banks often use a cluster-based approach, providing specialized services to enterprises in recognized industrial clusters.
- Prepayment Policies: Many banks allow prepayment of floating-rate loans without penalty for Micro and Small Enterprises, though subject to the specific agreement.
- Financial Transparency: Inconsistencies across tax filings, bank statements, and applications are a primary

cause for rejection. Avoid applying to multiple lenders simultaneously to prevent a 'credit-hungry' appearance.